Patria Investments Limited (PAX) — Valuation Driver Analysis

March 7, 2026 | Run: 2026-03-07-run2

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Executive Summary

This analysis identifies the quantitative drivers of valuation multiples across 24 publicly listed alternative asset managers and translates the findings into an actionable strategic playbook for Patria Investments Limited (NASDAQ: PAX). The study employs Spearman rank correlations, bootstrap confidence intervals, Benjamini-Hochberg multiple testing correction, leave-one-out robustness tests, and partial correlations controlling for scale.

TOP DRIVER

Scale (FEAUM)

avg |ρ| = 0.695, BH-significant

MOST ROBUST DRIVER

EPS (GAAP)

avg |ρ| = 0.729, independent of scale

PAX STRENGTH

FRE Margin Q1

58.9%, rank 5/23

Key Findings

Three stable value drivers form a coherent framework: **Scale** (Fee-Earning AUM, ρ = +0.765 vs. P/FRE, p_{adj} = 0.026) establishes the fee base; **Efficiency** (FRE Margin, ρ = +0.708 vs. EV/FEAUM, p_{adj} = 0.038) determines earnings conversion; and **Per-share economics** (EPS, ρ = +0.750 vs. EV/FEAUM, p_{adj} = 0.041) integrates all earnings sources into the metric that determines equity value. EPS retains its signal after controlling for scale (partial ρ drops only 0.04–0.07), confirming that profitability matters independent of firm size.

PAX Positioning

$40.8B Q4 Rank 19/23	58.9% Q1 Rank 5/23
EPS (GAAP) $0.54 Q3 Rank 12/16	DE/SHARE $1.27 Q2 Rank 7/14
FRE GROWTH YOY 19% Q2 Rank 9/22	

PAX's Q4 FEAUM positioning is the primary explanation for its valuation discount (P/FRE ~10.5x vs. peer median ~20x). The Q1 FRE margin is a genuine competitive advantage, but it cannot fully compensate for the scale deficit because FEAUM is the statistically stronger driver. The path to multiple expansion requires growing FEAUM while defending FRE margin.

Strategic Implications for Patria Investments

PHL / Board Guidance

Top 5 Value-Creating Principles

1. Protect Q1 FRE Margin as PAX's Primary Competitive Advantage

PAX's 58.9% FRE margin (rank 5/23) is its only top-quartile position on a stable value driver. Every strategic initiative must be evaluated against its margin impact. The Vinci Compass anti-pattern (ANTI-001, ANTI-004) demonstrates that LatAm managers growing without margin discipline destroy value. *Linked driver:* DVR-003 (avg |ρ| = 0.54, independent efficiency signal).

2. Grow FEAUM through Credit Expansion and Infrastructure Scaling

two most viable paths to FEAUM growth without sacrificing FRE margin quality. *Linked plays:* PLAY-003, PLAY-PE06, PLAY-I03, PLAY-C02.

3. Improve EPS Trajectory through Per-Share Economics Discipline

EPS (Q3, rank 12/16) is the second-strongest value driver (avg |ρ| = 0.729, independent signal). PAX's $0.54 EPS is well below Q1 peers (PGHN CHF 48.83, APO $5.54, HLNE $4.35). Every growth investment must demonstrably contribute to EPS improvement within 24 months. *Linked anti-pattern:* ANTI-003 (StepStone's negative EPS at scale).

4. Build Permanent Capital to Reduce Fundraising Cyclicality

Permanent capital reduces earnings volatility, extends fee duration, and provides a higher-quality earnings stream that warrants premium multiples. Target 30–40% permanent/long-dated capital within 3 years through open-ended infrastructure and credit vehicles plus Solis CLO book. *Linked plays:* PLAY-001, PLAY-013, PLAY-C05.

5. Leverage LatAm Scarcity Premium as Geographic Competitive Moat

PAX is one of very few NASDAQ-listed pure-play LatAm alternative managers. Rather than competing with BX/BAM/KKR on global scale, PAX should deepen its positioning as the "first call" for institutional LatAm alternatives allocation. *Linked plays:* PLAY-007, PLAY-011, PLAY-I04.

Three-Year Directional Targets

Metric	Current	2029 Target	Pathway
FEAUM	$40.8B (Q4)	$65–75B (Q3)	Solis, organic credit, infra fund scaling, new products, 1–2 bolt-on acquisitions
FRE Margin	58.9% (Q1)	55–60% (Q1)	AI efficiency gains offsetting credit mix headwind; **non-negotiable floor of 55%**
EPS (GAAP)	$0.54 (Q3)	$0.90–$1.10 (Q2)	FRE growth, per-share discipline, co-investment income, proactive exits

Perm. Capital	<15% est.	30–40%	Solis CLO, open-ended infra vehicle, open-ended credit vehicle

Key Risk: Protecting Q1 FRE Margin while scaling FEAUM. Credit expansion introduces lower fee rates (~80–100 bps vs. PE/infra ~100–150 bps) that naturally compress blended margins. The Vinci Compass precedent demonstrates that LatAm managers pursuing scale through M&A frequently sacrifice margins faster than scale economies compensate. PAX must enforce a 55% FRE margin floor as a non-negotiable strategic constraint.

Management Priorities: Five Initiatives

1. Solis Integration Excellence

DRIVER IMPACT	DVR-001 (FEAUM +$3.5B), DVR-006 (Credit % to ~30%)
TIMELINE	2026 H1–H2
SUCCESS METRICS	Full operational integration by Q4 2026; zero LP attrition; credit FEAUM $14B+ by year-end
RISK	Integration distraction; margin dilution if Solis fee rates below PAX average

2. Inaugural Investor Day

DRIVER IMPACT	DVR-002 (EPS trajectory communication), DVR-001 (FEAUM growth narrative)
TIMELINE	2026 Q3–Q4
SUCCESS METRICS	Credible 3-year targets for FEAUM ($65–75B), FRE margin (55–60%), EPS ($0.90–$1.10); analyst coverage expansion
RISK	Setting targets too aggressively ('show me' discount per ANTI-PE01); or too conservatively

3. Infrastructure Debt Product Launch

DRIVER IMPACT	DVR-001 (FEAUM growth), DVR-003 (margin-accretive cross-vertical product)

4. LatAm Wealth Distribution Build

DRIVER IMPACT	DVR-001 (FEAUM new channel), DVR-003 (recurring fee stream)
TIMELINE	2026 H2–2028
SUCCESS METRICS	$500M wealth channel AUM by end-2027; 3+ private bank partnerships

5. Active Ownership Industrial Advisor Network

DRIVER IMPACT	DVR-002 (EPS via portfolio company value creation and stronger exits)
TIMELINE	2026–2027
SUCCESS METRICS	30+ advisors engaged; measurable EBITDA improvement in 5+ portfolio companies

Resource Allocation

Incremental hires: 15–25 over 3 years (wealth distribution, infra debt, secondaries, AI/technology, Solis integration, IR). Estimated $5–8M annually. **Technology:** AI credit underwriting, LP reporting, data centralization. Estimated $2–4M over 3 years. **Capital:** $50–150M co-investment program; $500M–$2B for bolt-on acquisitions.

Per-Business Unit Recommendations

Private Equity

Top plays: `PLAY-PE04` Active Ownership • `PLAY-PE05` Record Realization Year • `PLAY-008` Direct Investing Model

Competitive position: LatAm mid-market PE ($100M–$500M EV) where local knowledge, regulatory navigation, and operational improvement drive returns. Global mega-funds have limited LatAm presence at this scale.

Maintain direct investing discipline. Build LatAm sector specialization.

DON'T: Pursue mega-fund scale ($10B+). Attempt PE evergreen until infra/credit prove distribution. Add fund-of-funds layers. Expand headcount without proportional AUM growth.

Private Equity Solutions

Top plays: `PLAY-011` Bespoke Mandates • `PLAY-S05` Re-Up Compounding • `PLAY-017` Data Platform

Competitive position: Unique ability to offer both direct investing and solutions from a single LatAm platform. Position as "Partners Group of Latin America" for bespoke allocation.

▼ DOs and DON'Ts

DO: Develop bespoke LatAm allocation mandates. Track re-up rates as primary metric. Build LatAm data platform.

DON'T: Grow Solutions headcount faster than AUM (avoid StepStone trap). Accept advisory-rate fees (<75 bps). Let Solutions become a below-average margin segment.

Credit

Top plays: `PLAY-PE06` Credit Platform Pivot • `PLAY-C02` LatAm FIDC Securitization • `PLAY-C06` AI Underwriting

Competitive position: Small ($14.1B post-Solis) vs. global platforms but with LatAm scarcity advantage. First private credit fund 15.6% gross unlevered IRR validates underwriting quality.

▼ DOs and DON'Ts

DO: Complete Solis integration as top priority. Launch LatAm FIDC structures. Deploy AI in credit underwriting. Develop infrastructure debt product.

DON'T: Attempt parallel bank model (requires $400B+). Pursue insurance platform. Sacrifice fee rates for AUM growth. Over-extend into global credit markets.

Top plays: PLAY-I05 Infrastructure Debt • PLAY-I04 Complexity Premium • PLAY-I03 Fund Scaling

Competitive position: PAX's strongest vertical. $2.9B fund validates LP demand. LatAm infrastructure offers higher yields than DM, with limited global competition at PAX's scale.

▼ DOs and DON'Ts

DO: Launch infrastructure debt as highest-conviction cross-vertical product. Defend operational complexity premium in fee discussions. Scale next fund to $4–5B. Develop energy transition thesis. Position infra as anchor for first open-ended vehicle.

DON'T: Attempt global AI infrastructure. Dilute LatAm focus with global diversification. Accept fee rate compression.

Real Estate

Top plays: PLAY-RE03 Operating Platforms • PLAY-RE01 Open-Ended Vehicle • PLAY-018 LatAm Niches

Competitive position: Most challenged vertical (ANTI-RE01). Cannot compete with BX/BAM on scale, perpetual vehicles, or data centers. Focus on LatAm logistics, residential, and student housing niches.

▼ DOs and DON'Ts

DO: Focus on LatAm-specific sub-sectors. Consider small operating platform acquisitions ($50–200M). Explore real estate credit as bridge to credit vertical.

DON'T: Allocate disproportionate growth resources. Attempt data centers. Launch perpetual RE vehicles before infra/credit prove model. Compete with global managers on scale.

Public Equities

Top plays: PLAY-017 Data Platform • PLAY-011 Bespoke Mandates • PLAY-016 AI Integration

Competitive position: Complementary capability; primary value is LatAm market intelligence for private markets deal sourcing and complete platform for LP allocation.

Maintain lean operations.

DON'T: Allocate significant incremental resources. Let it become a margin drag. Expand beyond LatAm.

Methodology and Statistical Framework

Approach

This analysis employs **Spearman rank correlation** (ρ) as the primary measure of association between driver metrics and valuation multiples across a universe of 24 publicly listed alternative asset managers (25 listed, BN excluded due to AUM overlap with BAM). Spearman was selected over Pearson for robustness to non-normality, outlier resistance, and appropriateness for small samples (N = 10–19 per correlation).

Multiple regression was explicitly not used due to: insufficient degrees of freedom (14 candidate predictors for ~19 observations), severe multicollinearity (26 driver pairs with |ρ| > 0.7), overfitting risk, and endogeneity concerns.

Statistical Controls

Method	Application	Result
Bootstrap CIs	1,000 iterations, 95% non-parametric CIs	All 4 BH-significant CIs exclude zero
Benjamini-Hochberg FDR	q = 0.10 across 51 full-sample tests	4 of 51 survive correction
Leave-one-out	Exhaustive recomputation excluding each firm	All 4 findings robust (max LOO range: 0.148)
Partial correlations	Controlling for FEAUM to test scale independence	EPS independent; Total AUM and Credit % confounded
Effective tests	~36 effective tests (from 51) after clustering	Only COR-061 survives Bonferroni (p = 0.0003)

Confidence Classification

High confidence	Adjusted p < 0.01	None
Moderate confidence	Adjusted p < 0.05	FEAUM vs P/FRE (0.026), Total AUM vs P/FRE (0.037), FRE Margin vs EV/FEAUM (0.038), EPS vs EV/FEAUM (0.041)
Not significant	Adjusted p ≥ 0.10	Remaining 47 correlations

Industry Value Driver Findings

DVR-001: Fee-Earning AUM (Scale) `Stable Driver`

Fee-Earning AUM exhibits the strongest and most consistent positive association with valuation multiples. Spearman ρ ranges from +0.63 to +0.76 across three multiples, with average |ρ| = 0.695. The P/FRE correlation (ρ = +0.765, 95% CI [+0.333, +0.942], BH-adjusted p = 0.026) is the only correlation surviving the strictest Bonferroni correction (raw p = 0.0003). Leave-one-out analysis confirms robustness — no single firm drives the result (LOO range 0.112).

▼ Cross-Firm Comparison: FEAUM Rankings

Ticker	FEAUM ($B)	Quartile
BX	921.7	Q1
APO	709.0	Q1
KKR	604.0	Q1
BAM	603.0	Q1
ARES	384.9	Q1
CG	337.0	Q2
OWL	187.7	Q2
TPG	170.1	Q2
CVC	159.8	Q2
EQT	152.3	Q2
HLNE	146.1	Q2

STEP	138.6	Q3
VINP	45.3	Q3
PAX	**40.8**	**Q4**
ANTIN	24.6	**Q4**
III	8.8	**Q4**

Limitations: Total AUM (DVR-004) appears as a separate stable driver (avg |ρ| = 0.59) but is **confounded** by FEAUM — partial correlation collapses from ~0.69 to ~0.12. Scale-valuation relationship may be concave. Survivorship bias present. Reverse causality likely.

DVR-002: Earnings per Share (GAAP) `Stable Driver`

EPS exhibits the highest average |ρ| (0.729) of any driver — the strongest single predictor. The EV/FEAUM correlation (ρ = +0.750, BH-adjusted p = 0.041) survives BH correction. Critically, EPS **retains its signal after controlling for scale**: partial ρ drops by only 0.04–0.07, confirming that EPS captures information about valuation independent of firm size.

▼ Cross-Firm Comparison: EPS Rankings

Ticker ↑↓	EPS ↑↓	Quartile ↑↓
PGHN	CHF 48.83	**Q1**
III	GBP 8.14	**Q1**
APO	$5.54	**Q1**
HLNE	$4.35	**Q1**
BX	$3.87	Q2
KKR	$2.38	Q2
EQT	EUR 0.67	Q3
PAX	**$0.54**	**Q3**
VINP	$0.45	**Q4**
STEP	-$1.55	**Q4**

DVR-003: FRE Margin `Multiple-Specific (EV/FEAUM)`

FRE Margin exceeds the ρ > 0.5 threshold for exactly one multiple (EV/FEAUM: ρ = +0.708, BH-adjusted p = 0.038), but not for P/FRE (ρ = +0.404) or P/DE (ρ = +0.515, not significant). FRE Margin retains an independent signal after controlling for scale, though partially attenuated: partial ρ drops from +0.61 to +0.41, indicating ~one-third of the signal is attributable to operating leverage from scale. The remaining +0.41 represents a genuine, independent efficiency signal.

PAX's strongest competitive positioning. FRE margin of 58.9% (rank 5/23, Q1) is comparable to mega-cap platforms despite Q4 scale. This is the single strongest data point supporting PAX's valuation case.

▼ Cross-Firm Comparison: FRE Margin Rankings

Ticker ↑↓	FRE Margin (%) ↑↓	Quartile ↑↓
BX	71.3	Q1
KKR	69.0	Q1
OWL	62.0	Q1
PGHN	62.0	Q1
PAX	**58.9**	Q1
BAM	58.0	Q1
APO	57.0	Q2
EQT	52.0	Q2
HLNE	50.0	Q2
CG	47.0	Q3
ARES	41.7	Q3
STEP	37.0	Q4
VINP	30.4	Q4

Moderate Signals

DE/share	DVR-005	0.551	Moderate signal	Mixed	Q2
Credit % of AUM	DVR-006	0.395	Moderate signal	No (confounded)	Q2
FRE Growth YoY	DVR-007	0.260	Moderate signal	N/A	Q2
Mgmt Fee Rate	DVR-008	0.183	Moderate signal	N/A	Q3

Credit % is **confounded by FEAUM** — raw positive associations disappear after controlling for scale, suggesting credit-heavy firms tend to be larger rather than that credit exposure per se drives valuation. FRE Growth exhibits a surprisingly weak signal — the Vinci Compass case (63% FRE growth, Q1 ranking, but Q4 FRE margin) demonstrates that growth without margin quality does not drive premium valuations.

Firm-Level Strategies and Actions

Platform deep-dives for 12 firms, organized by strategic model. Cautionary cases marked with asterisk (*).

Blackstone (BX) — Scale + Distribution Leader

AUM: $1,274.9B | **FEAUM:** $921.7B (Q1, rank 1/23) | **FRE Margin:** 71.3% (Q1, rank 1/23) | **EPS:** $3.87 (Q2)

Blackstone commands the highest valuation premium because it achieves a rare combination of scale dominance and margin leadership simultaneously. Perpetual capital (48% of FEAUM) eliminates fundraising cyclicality. Private wealth distribution ($43B raised, ~53% YoY growth) opens the largest untapped capital pool. BX appears to represent approximately 50% of private wealth alternative revenue (company IR estimate, not independently verified). *(PS-VD-001, PS-VD-002)*

▼ Transferable Insights

Perpetual Capital Sequencing: BREIT (RE, 2017) → BCRED (credit, 2021) → BXPE (PE, 2024). Each vehicle leveraged distribution infrastructure built by predecessors. BREIT took 4+ years to reach scale; BXPE surpassed $2B in its first year.

Thematic Platform Investing: QTS ($10B take-private, 2021) + AirTrunk ($16B, 2024) = $70B+ data center portfolio. Acquired operating platforms, not just assets.

AUM: $744.0B | **FEAUM:** $604.0B (Q1, rank 3/23) | **FRE Margin:** 69.0% (Q1, rank 2/23) | **EPS:** $2.38 (Q2)

KKR's triple-engine model (FRE + insurance economics $1.9B + balance sheet co-investment $25B+) provides earnings diversification unavailable to pure-play asset managers. Global Atlantic full consolidation (2024) is the key catalyst. ABF platform grew 20% YoY to $75B. *(PS-VD-005, PS-VD-006)*

Apollo (APO) — Origination-Led Credit

AUM: $938.4B | **FEAUM:** $709.0B (Q1, rank 2/23) | **FRE Margin:** 57.0% (Q2) | **EPS:** $5.54 (Q1, rank 3/16)

Apollo's dual-engine model (FRE + Athene SRE $865M quarterly) is unique. The firm characterizes its origination platform as a "parallel bank" (company IR narrative, not independently verified); the verified data point is $228B origination volume. On pace for $1T AUM by 2026. Investor Day targets: $15+/share ANI, $12+/share FRE, $10+/share SRE by 2029. *(PS-VD-009, PS-VD-010, PS-VD-056)*

Brookfield (BAM) — Real Assets Operator

AUM: $1,100.0B | **FEAUM:** $603.0B (Q1, rank 4/23) | **FRE Margin:** 58.0% (Q1, rank 6/23)

Positioned at the intersection of energy transition and AI infrastructure buildout. 87% permanent/long-dated capital — industry highest. BAIIF ($100B deployment capacity with NVIDIA/QIA). Full Oaktree acquisition adds $200B+ credit platform. FRE grew 22% to $3.0B in 2025. *(PS-VD-015, PS-VD-016)*

Partners Group (PGHN) — Direct Investing Purity

AUM: $185.0B | **FEAUM:** $152.3B (Q2) | **FRE Margin:** 62.0% (Q1, rank 4/23) | **EPS:** CHF 48.83 (Q1, rank 1/16)

The only pure-play direct investing firm at institutional scale. Q1 EPS (highest in peer group by wide margin) demonstrates that per-share economics can drive valuation independent of scale.

Ares (ARES) — Credit-Led Growth Champion

AUM: $622.5B | **FEAUM:** $384.9B (Q1, rank 6/23) | **FRE Margin:** 41.7% (Q3, rank 18/23)

Fastest-growing mega-cap (5-year AUM CAGR 26%). GCP International ($5.6B, $44B AUM) transformed real assets capability. FRE grew 33% in Q4 2025. Q3 FRE margin reflects credit mix and M&A integration costs. AI integration contributing to margin expansion. *(PS-VD-012, PS-VD-013)*

Blue Owl (OWL) — 100% Permanent Capital

AUM: $307.4B | **FEAUM:** $187.7B (Q2) | **FRE Margin:** 62.0% (Q1, rank 3/23)

Every dollar of AUM is in permanent or long-dated vehicles. Nearly 6x AUM growth since 2021 listing through four acquisitions in 2024 (IPI, Kuvare, Atalaya, Prima Capital). 85% of management fees from permanent capital. GP Strategic Capital franchise earns fees on the growth of other managers. *(PS-VD-018, PS-VD-019)*

EQT — Active Ownership

AUM: EUR 291.6B | **FEAUM:** $152.3B (Q2) | **FRE Margin:** 52.0% (Q2) | **EPS:** EUR 0.67 (Q3)

Europe's premier alternative manager. ~500 industrial advisors for operational value creation. Coller Capital acquisition ($3.7B, ~$50B secondaries AUM) pending. Record realization year 2025: EUR 16B gross + EUR 14B co-investments. EUR 26B gross inflows (>2x prior year). *(PS-VD-027, PS-VD-029)*

Carlyle (CG) — CEO-Led Transformation

AUM: $477.0B | **FEAUM:** $337.0B (Q2) | **FRE Margin:** 47.0% (Q3, rank 15/23)

Harvey Schwartz transformation (since Feb 2023): eliminated underperforming businesses, credit grew to largest segment ($211.3B, 44% of AUM), wealth products tripled (3 to 9), FRE up 12% in

Hamilton Lane (HLNE) — Data Moat + Democratization

Total AUS: $1,017.6B | **FEAUM:** $146.1B (Q2) | **FRE Margin:** 50.0% (Q2) | **EPS:** $4.35 (Q1, rank 4/16)

Proprietary database: 58,000+ funds, 57 vintage years. Evergreen platform $16B+ (70%+ YoY growth). 90%+ managed account re-up rate with 30%+ growth on re-ups. Republic partnership: $500-minimum blockchain-based retail access. *(PS-VD-036, PS-VD-037)*

StepStone (STEP) — Cautionary Case*

AUM: $219.8B | **FEAUM:** $138.6B (Q3) | **FRE Margin:** 37.0% (Q4, rank 20/23) | **EPS:** -$1.55 (Q4)

The primary cautionary signal in the peer universe. Record AUM growth (29% organic, $31B raised) produced bottom-quartile FRE margin (37%) and negative GAAP EPS. Adjusted ANI was positive (+$0.65/share), indicating non-cash charges drive the GAAP figure, but the Q4 FRE margin is the more reliable structural indicator. The solutions model's labor-intensive cost structure (108 partners, 780 employees) scales linearly with AUM rather than providing operating leverage. *(PS-VD-041, PS-VD-042)*

Vinci Compass (VINP) — Cautionary Case*

AUM: R$354B (~$59B) | **FEAUM:** $45.3B (Q3) | **FRE Margin:** 30.4% (Q4, rank 22/23) | **EPS:** $0.45 (Q4)

Most directly relevant anti-pattern for PAX. Executed four acquisitions in 18 months (Compass, MAV, Lacan, Verde). Despite 63% FRE growth (Q1), FRE margin of 30.4% (Q4) reflects integration costs, structurally lower LatAm fee rates, and higher per-AUM operating costs across seven countries. Growth from a low-margin base does not generate premium multiples. *(ACT-VD-VINP-001, ACT-VD-VINP-002)*

Platform Strategic Menu

DVR-001: Scale (FEAUM) — 7 Plays

PLAY-001 Perpetual Capital Vehicle Sequencing

Firms: BX | Impact: BREIT $60B+, BCRED $14B+ gross sales, BXPE $2B+ in year 1. Perpetual capital 48% of FEAUM.

▼ Details

Launch evergreen products across asset classes in deliberate sequence — starting with the most natural fit (real estate for BX), then extending distribution infrastructure to credit and PE. Each launch leverages relationships built by predecessors. Prerequisites: brand recognition, track record, regulatory framework, daily NAV technology, dedicated wealth team. Risk: first vehicle takes 4+ years to reach scale; redemption management during stress.

PLAY-002 Insurance Platform Integration

Firms: KKR, APO, ARES, OWL, BAM | Impact: Combined insurance AUM $750B+. KKR insurance economics $1.9B. APO SRE $865M/quarter.

PLAY-003 Transformative M&A for Scale

Firms: ARES, OWL, EQT, BAM | Impact: ARES Real Assets doubled to $139.1B. OWL 6x since 2021. EQT Coller adds ~$50B.

PLAY-004 Private Wealth Distribution Build

Firms: BX, CG, BAM, HLNE | Impact: BX $43B wealth fundraising (+53% YoY). CG $40B target 2026-2028 (3x prior).

PLAY-005 Origination-Led Credit Platform

Firms: APO | Impact: $228B origination volume. FEAUM $709B. Apollo characterizes this as a "parallel bank" (company IR narrative, not independently verified).

PLAY-006 Thematic Platform Investing in Real Assets

Firms: BX, BAM | Impact: BX $70B+ data center portfolio. BAM $100B BAIIF with NVIDIA/QIA.

PLAY-007 Sovereign Wealth Fund Partnerships

Firms: BAM, KKR | Impact: BAM BAIIF $5B initial close, $100B deployment capacity. KKR $95B deployed globally.

PLAY-008 Direct Investing Model for Per-Share Economics

Firms: PGHN | Impact: Q1 EPS (CHF 48.83, rank 1/16). Q1 FRE margin 62%. Eliminates intermediation costs.

PLAY-009 Dual-Engine Earnings (FRE + Insurance SRE)

Firms: APO, KKR | Impact: APO targets $15+/share by 2029. KKR insurance economics $1.9B.

PLAY-010 Balance Sheet Co-Investment

Firms: KKR | Impact: $25B+ firm capital co-invested. Creates third earnings stream.

PLAY-011 Bespoke Mandate Model for Client Retention

Firms: PGHN, HLNE | Impact: PGHN 72% from bespoke solutions. HLNE 90%+ re-up rate, 30%+ growth on re-ups.

PLAY-012 Investor Day Financial Target Articulation

Firms: APO, CG | Impact: APO stock re-rated after Oct 2024 Investor Day. CG $2B buyback alongside targets.

DVR-003: FRE Margin — 6 Plays

PLAY-013 100% Permanent Capital Architecture

Firms: OWL | Impact: Q1 FRE margin 62% despite rapid M&A. Most annuity-like earnings in industry.

PLAY-014 Listed Partnership Permanent Capital

Firms: BAM | Impact: 87% permanent capital ratio (industry highest). FRE grew 22% to $3.0B.

PLAY-015 CEO-Led Operational Transformation

Firms: CG | Impact: FRE up 12%. $54B inflows (+32%). Target: margin above 50% by 2028.

PLAY-016 AI Integration for Operational Efficiency

Firms: ARES | Impact: Contributed to 33% Q4 FRE growth. Revenue growth exceeding headcount growth.

PLAY-017 Proprietary Data Platform as Competitive Moat

PLAY-018 **Asset Class Innovation**

Firms: PGHN | Impact: Private markets royalties as fifth asset class. $30B+ AUM target. Category-creating.

Anti-Patterns

ANTI-001 **Rapid Sequential M&A with Margin Compression (LatAm)**

Firms: VINP | Four acquisitions in 18 months. 63% FRE growth but 30.4% FRE margin (Q4). Growth from low-margin base does not generate premium multiples.

PAX relevance: CRITICAL. Most directly applicable. PAX must limit M&A cadence to 1 per 12–18 months and enforce 55% FRE margin floor.

ANTI-002 **Scale Aggregation without Cost Scalability**

Firms: STEP | FRE margin 37% (Q4) despite $219.8B AUM and record fundraising. Labor-intensive model (108 partners, 780 employees) scales costs linearly.

PAX relevance: HIGH. Cautionary for PE Solutions segment. Monitor Solutions headcount vs. AUM ratio.

ANTI-003 **Bottom-Quartile FRE Margin at Scale**

Firms: STEP | GAAP EPS -$1.55 (adjusted ANI +$0.65/share). The Q4 FRE margin is the structural signal: cost structure does not scale with AUM.

PAX relevance: MODERATE. Growth investments must maintain positive, growing EPS.

ANTI-004 **High FRE Growth from Low-Margin Base**

Firms: VINP | 63% FRE growth (Q1) + 30.4% FRE margin (Q4). Three structural factors: BRL/USD translation, lower LatAm fee rates, multi-country operating costs.

PAX relevance: LOW (PAX has Q1 margin). Risk only if aggressive credit expansion compresses below 50%.

Layer 2: Credit

Market context: Private credit AUM forecast $2.64T by 2029 (Preqin). Direct lending 61.5% of capital raised Q1–Q3 2025. Insurance channel is the defining structural trend. ABF market $6T growing to $9T.

Vertical-Specific Plays

PLAY-C01 Large-Scale Credit Origination Platform

Firms: APO | $228B origination, $709B FEAUM. Apollo characterizes this as a "parallel bank" (company IR narrative, not independently verified).

PLAY-C02 European Direct Lending CLO Securitization

Firms: ARES | EUR 600M+ in two CLOs. Credit FEAUM $384.9B. 5-year AUM CAGR 26%.

PLAY-C03 Serial M&A for Multi-Vertical Credit

Firms: OWL | Five acquisitions built comprehensive credit platform. AUM from ~$52B to $307.4B.

PLAY-C04 Insurance Channel Entry

Firms: APO, KKR, ARES, OWL | Combined insurance AUM $700B+.

PLAY-C05 Permanent Capital Model for Credit

Firms: OWL | 100% permanent capital eliminates fundraising costs. Q1 FRE margin 62%.

PLAY-C06 AI-Driven Credit Underwriting

Firms: ARES | Contributed to 33% Q4 FRE growth. Three AI application areas: risk scoring, covenant surveillance, reporting.

PAX Credit Positioning

Strengths: FRE Margin Q1 (58.9%). First private credit fund 15.6% gross IRR. Solis CLO adds $3.5B FEAUM. LatAm scarcity premium.

Next steps: Grow credit FEAUM via Solis integration and LatAm ABF/infrastructure debt products. Explore LatAm FIDC structures. Consider insurance channel partnership.

Layer 2: Private Equity

Market context: $904B global buyout deal value in 2025. 13 megadeals ($10B+) = 30% of volume. GP-led secondaries $115B (+53% YoY). 40% of GPs exploring continuation vehicles.

Vertical-Specific Plays

PLAY-PE01 Insurance Integration as PE Capital Engine

Firms: KKR, APO, CG | KKR 43% perpetual capital. APO on pace for $1T AUM.

PLAY-PE02 Secondaries Internalization via M&A

Firms: EQT, KKR, OWL | EQT/Coller adds $350–375M fee revenue. Global secondary volume $240B (+48%).

PLAY-PE03 K-Series Evergreen Products for Wealth

Firms: KKR, BX, CG | KKR perpetual capital 43% of AUM. BX BXPE $2B+ in first year.

PLAY-PE04 Active Ownership Value Creation

Firms: EQT | ~500 industrial advisors. Record EUR 16B gross realizations. 60% adjusted EBITDA margin.

PLAY-PE05 Record Realization Year as Fundraising Catalyst

Firms: EQT, CG | EQT EUR 26B gross inflows (>2x prior year). CG #1 PE sponsor by IPO proceeds.

PLAY-PE06 Credit Platform Pivot for FRE Stability

Firms: CG | Credit now 44% of AUM (was secondary). Nearly half of credit capital perpetual.

Strengths: FRE Margin Q1. LatAm PE expertise. FRE Growth 19% (Q2). Infrastructure-adjacent opportunities.

Gaps: FEAUM Q4. No insurance platform. No secondaries capability. Limited co-investment scale.

Next steps: Formalize active ownership (EQT model for LatAm). Co-investment programs with global LPs. Explore LatAm secondaries leveraging GP relationships.

Layer 2: Infrastructure

Market context: Global infrastructure investment needs $100T+ by 2040. $3.3T power investment in 2025 (60%+ to renewables/storage/grid). AI driving explosive data center demand. Once-in-a-generation supercycle: digitalization + decarbonization + deglobalization.

Vertical-Specific Plays

PLAY-I01 AI Infrastructure Supercycle Positioning

Firms: BAM, BX | BAM BAIIF $100B deployment. BX $70B+ data center portfolio.

PLAY-I02 Vertically Integrated Renewable Power

Firms: BAM | Neoen acquisition ($3.2B). BEP provides permanent capital. Development-to-operation model.

PLAY-I03 Mega-Fund Positioning

Firms: EQT | Infrastructure VI EUR 21.5B. Digitalization + decarbonization thesis.

PLAY-I04 Operational Complexity Premium

Firms: BAM | 30+ years operating heritage. Premium fee rates from operational expertise. FRE grew 22% to $3.0B.

PLAY-I05 Infrastructure Debt as Cross-Vertical Bridge

PAX Infrastructure Positioning

Strengths: Largest PAX vertical. $2.9B fund validates LP demand. Deep LatAm regulatory expertise. Higher-yield risk profile.

Gaps: Scale gap vs. BAM ($603B) and EQT ($152B). No digital/AI infrastructure. LatAm only. No infra debt product.

Next steps: Develop LatAm infrastructure debt product. Partner with global AI infrastructure players for LatAm deployment. Expand energy transition focus.

Layer 2: Real Estate

Market context: Data centers are the dominant sub-sector. PERE recovering from 2022–2023 rate shock. Perpetual vehicles proliferating. Vertically integrated operating platforms emerging.

Vertical-Specific Plays

PLAY-RE01 **BREIT-Style Perpetual Vehicles**

Firms: BX | BREIT $60B+ AUM. BX appears to represent approximately 50% of private wealth alternative revenue (company IR estimate, not independently verified). Perpetual capital 48% of FEAUM.

PLAY-RE02 **Data Center Thematic Conviction**

Firms: BX, OWL | BX $70B+ combined data center portfolio. QTS = 20.4% of BREIT. OWL IPI Partners acquisition.

PLAY-RE03 **Vertically Integrated Operating Platforms**

Firms: PGHN, ARES | PGHN acquired Empira (EUR 14B GDV). ARES Real Assets doubled to $139.1B via GCP.

PAX Real Estate Positioning

perpetual vehicles, or data centers. Focus on LatAm niches (logistics, residential, student housing) where local knowledge creates competitive advantage. Do not allocate disproportionate growth resources.

Layer 2: GP-Led Solutions / Secondaries

Market context: $240B global secondary volume in 2025 (+48% YoY). GP-led $115B (53% growth), 48% of total. Evergreen products replacing traditional structures. Jefferies projects $300B+ within 12–24 months.

Vertical-Specific Plays

PLAY-S01 Evergreen Platform Scaling for Wealth

Firms: PGHN, HLNE | PGHN $52B evergreen AUM, 7 new funds in 2025. HLNE $16B+, 70%+ YoY growth.

PLAY-S02 Blockchain-Based Retail Access

Firms: HLNE | Republic partnership. $500-minimum infrastructure fund via blockchain. Lowest-minimum private infra offering for US retail.

PLAY-S03 Direct Investing vs. Advisory Model

Firms: PGHN | Q1 EPS rank 1/16. Captures full value chain. Contrast with STEP advisory model (Q4 FRE margin).

PLAY-S04 Proprietary Data Moat for GP Selection

Firms: HLNE | 58,000+ funds, 57 vintage years. 90%+ re-up rate. Self-reinforcing data advantage.

PLAY-S05 Managed Account Re-Up Compounding

Firms: HLNE | 90%+ re-up rate, 30%+ growth on re-ups. Compounding revenue without new client acquisition costs.

PAX Solutions Positioning

credit platform provides secondaries content.

Gaps: No dedicated secondaries strategy. No proprietary data platform. Limited evergreen suite. No retail distribution.

Next steps: LatAm-focused LP secondaries leveraging GP relationships. Evergreen products for LatAm wealth channel. Technology investment for data-driven GP selection. Maintain margin discipline per StepStone cautionary case.

Statistical Appendix

BH-Significant Correlations with Bootstrap Confidence Intervals

COR ID	Driver	Multiple	ρ	95% CI	Raw p	BH p	N	LOO Robust?
COR-061	FEAUM	P/FRE	+0.765	[+0.333, +0.942]	0.0003	0.026	17	Yes (range 0.112)
COR-064	Total AUM	P/FRE	+0.690	[+0.282, +0.897]	0.0011	0.037	19	Yes (range 0.116)
COR-090	FRE Margin	EV/FEAUM	+0.708	[+0.277, +0.955]	0.0015	0.038	17	Yes (range 0.132)
COR-057	EPS	EV/FEAUM	+0.750	[+0.283, +0.911]	0.0020	0.041	14	Yes (range 0.148)

Partial Correlations Controlling for FEAUM

Driver	Multiple	N	Raw ρ	Partial ρ	Attenuation	Verdict
EPS	P/FRE	12	+0.706	+0.665	0.041	Independent signal
EPS	EV/FEAUM	13	+0.758	+0.688	0.070	Independent signal
Total AUM	P/FRE	17	+0.765	+0.118	0.646	Confounded by FEAUM
Total AUM	EV/FEAUM	16	+0.638	+0.149	0.489	Confounded by FEAUM
FRE Margin	EV/FEAUM	15	+0.611	+0.414	0.197	Partially attenuated

FRE Margin	P/FRE	17	+0.284	-0.309	N/A	Sign reversal (scale confound)
Credit %	P/FRE	16	+0.453	-0.111	0.342	Confounded by FEAUM
Credit %	EV/FEAUM	15	+0.356	+0.077	0.279	Confounded by FEAUM

Driver Ranking Summary

Rank	Driver	DVR ID	Avg |ρ|	Classification	BH Sig?	LOO Robust?	Scale-Independent?	PAX Q
1	EPS (GAAP)	DVR-002	0.729	Stable driver	Yes (EV/FEAUM)	Yes	Yes	Q3
2	FEAUM	DVR-001	0.695	Stable driver	Yes (P/FRE)	Yes	N/A (is scale)	**Q4**
3	Total AUM	DVR-004	0.590	Stable (confounded)	Yes (P/FRE)	Yes	No	**Q4**
4	DE/share	DVR-005	0.551	Moderate signal	No	N/A	Mixed	Q2
5	FRE Margin	DVR-003	0.542	Multiple-specific	Yes (EV/FEAUM)	Yes	Partially	**Q1**
6	Credit %	DVR-006	0.395	Moderate signal	No	N/A	No	Q2
7	FRE Growth	DVR-007	0.260	Moderate signal	No	N/A	N/A	Q2
8	Mgmt Fee Rate	DVR-008	0.183	Moderate signal	No	N/A	N/A	Q3

Software and Reproducibility

Spearman rank correlation with tie-handling (average ranks). P-values via t-distribution approximation: $t = \rho \times \sqrt{((N-2) / (1-\rho^2))}$, df = N−2. Bootstrap: 1,000 iterations, seed = 42. BH FDR: standard step-up procedure at q = 0.10 across 51 tests. Partial correlations: $\text{partial_}\rho(X,Y|Z) = (\rho_{XY} - \rho_{XZ} \times \rho_{YZ}) / \sqrt{((1 - \rho_{XZ}^2) \times (1 - \rho_{YZ}^2))}$. Leave-one-out: exhaustive recomputation excluding each firm.

Mandatory Disclaimers

establish causal relationships. A positive correlation between FEAUM and P/FRE, for example, could reflect that (a) larger AUM causes higher multiples, (b) higher multiples enable cheaper capital and faster AUM growth, (c) both are driven by an unobserved third factor (e.g., brand quality, founder reputation), or (d) some combination of these mechanisms.

Survivorship bias: universe consists of currently listed firms only. The universe of 25 firms includes only alternative asset managers that are publicly listed as of FY2025. Firms that were acquired (e.g., Sculptor/Rithm), delisted (e.g., Petershill Partners), or remained private are excluded. This creates survivorship bias: the observed correlations reflect the characteristics of firms that have survived as public entities, which may systematically differ from the full population of alt-asset managers.

Point-in-time limitation: conditions as of most recent data collection period. All data reflects conditions as of FY2025 (calendar year ended December 31, 2025, or nearest fiscal year equivalent). Valuation multiples are computed using market capitalizations from December 2025 through March 2026 (varying by tier). Market conditions, interest rates, and investor sentiment at this specific point in time influence both driver metrics and valuation multiples. Results may not generalize to different market regimes.

Small-N limitation: N ≈ 25 limits statistical power; findings generate hypotheses, not definitive causal claims. The largest full-sample correlation (P/FRE) includes N = 19 firms. The consistent sub-sample includes only N = 9 firms. At these sample sizes, statistical power is limited: even true correlations of moderate strength ($\rho = 0.4$) may not achieve statistical significance, and apparent significant correlations may reflect sampling noise. The four BH-significant findings should be treated as well-supported hypotheses warranting further investigation, not as established facts.

Endogeneity: several drivers may be simultaneously caused by and causally related to valuation multiples. AUM growth, fundraising intensity, and fee-related earnings are all influenced by a firm's market valuation. High-multiple firms attract more investor capital (cheaper equity issuance, greater LP confidence), which mechanically increases AUM and earnings. This bidirectional causality means that observed correlations likely overstate the unidirectional effect of drivers on multiples. Instrumental variable or natural experiment approaches would be needed to estimate causal effects, but are infeasible at this sample size.

FRE definition heterogeneity: FRE is non-GAAP; firm-specific definitions vary; measurement error is present. Fee-Related Earnings is a non-GAAP metric with material definitional differences across firms. Key variations include: pre-tax vs. after-tax treatment; inclusion or exclusion of equity-based compensation;

EBITDA). These definitional differences introduce measurement error that attenuates correlations and may bias comparisons.

INFERRED claims policy: Claims marked as INFERRED require hedged language. In this report: (1) BX ~50% private wealth market share — "appears to represent approximately 50%" (company IR estimate, not independently verified); (2) APO "parallel bank" framing — "company IR narrative, not independently verified"; the verified data point is $228B origination volume.

Pipeline: Valuation Driver Analysis (VDA) | **Company:** Patria Investments Limited (NASDAQ: PAX) | **Sector:** Alternative Asset Management | **Run:** 2026-03-07-run2 | **Universe:** 25 firms (24 used after BN exclusion) | **Methodology:** Spearman rank correlation, 1,000-iteration bootstrap, BH FDR q=0.10, leave-one-out robustness, partial correlations | **Style:** Academic, evidence-first, explicit hedging, Oxford commas